NYSE
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Regulatory Memo

NYSE RM-24-12

September 13, 2024

TO: ALL MEMBERS AND MEMBER ORGANIZATIONS

FROM: NYSE REGULATION

SUBJECT: QUARTERLY EXPIRATION DAY – September 20, 2024

I. Purpose

September 20, 2024 will be a quarterly expiration day (the "Expiration Day") for stock and index options and futures products for which settlement pricing is based upon opening or closing prices that day on the New York Stock Exchange LLC ("NYSE" or "Exchange"). This Regulatory Memo reminds members and member organizations of certain NYSE rules and policies regarding entry and cancellation of market-on-close ("MOC"), limit-on-close ("LOC"), and closing offset ("Closing IO Order") orders; publication of imbalance information; printing of Closing Auctions; order entry requirements; and supervision. While these rules and policies are applicable every day, they are especially significant on expiration days.

II. Rules and Policies Relating to the Close

A. MOC/LOC and Closing IO Orders - Order Entry and Cancellation

Members and member organizations are reminded that the provisions of NYSE Rule 7.35B (DMM-Facilitated Closing Auctions) apply to the Close on all days, including on the Expiration Day. While the Exchange expects systems to operate normally, in the unlikely event the Exchange is unable to conduct a Closing Auction in one or more securities due to a systems or technical issue leading into or at the Close, the Official Closing Prices for Auction-Eligible Securities (as defined in NYSE Rule 7.35(a)(2)) will be determined in accordance with NYSE Rule 1.1(u) (Official Closing Price).

In the event the Exchange invokes its exemptive powers under NYSE Rule 7.35B(j)(2) (Extreme Order Imbalances at or Near the Close), the terms of that rule would govern the handling of orders at the Close. See Section II.D.

In connection with the entry of MOC/LOC and Closing IO Orders, members should pay particular attention to the following:

- A Significant Closing Imbalance[1] will be published via dissemination to the Tape. The oral announcement or physical posting of imbalance information at the panel does not constitute publication. See Section II.B. The Exchange's Auction Imbalance Information (i.e., imbalance information provided to Floor Brokers for any security in

[1] Per NYSE Rule 7.35B(d)(1), "[a]t the Closing Auction Imbalance Freeze Time, the Exchange will disseminate a Significant Closing Imbalance regardless of whether the security has opened or is halted or paused at that time if the Closing Imbalance is considered 'Significant.'"

which a Floor Broker has entered an order or as specifically requested by a Floor Broker) also does not constitute a Significant Closing Imbalance.

- Members and member organizations are reminded that, while they should enter orders as early in the day as possible, all MOC/LOC Orders (unless entered to offset a published Significant Closing Imbalance) must be entered electronically by 3:50 p.m.[2] Entering MOC/LOC Orders early provides DMMs with the opportunity to identify and disseminate potential order imbalances that might exist at the Close more quickly. This, in turn, enables brokers and traders to more effectively identify potential off-setting customer interest that could mitigate any imbalance. MOC/LOC and Closing IO Orders entered prior to 3:50 p.m. may be cancelled or reduced prior to that time for any reason.

- After 3:50 p.m., Exchange systems will accept only MOC and LOC Orders opposite to the side of the Significant Closing Imbalance. If a Significant Closing Imbalance has not been published, the Exchange will reject all MOC and LOC Orders after that time. Closing IO Orders may be entered on both sides of the market up to 4:00 p.m.

- MOC/LOC and Closing IO Orders may not be cancelled or reduced in size, even to correct a legitimate error,[3] after 3:50 p.m. The only exception is NYSE Rule 7.35B(j)(2)(B), which allows for the suspension of the prohibition on canceling MOC/LOC Orders in certain limited circumstances. See Section II.D, below.

- A Significant Closing Imbalance will be disseminated at 3:50 p.m. regardless of whether the security has opened or is halted or paused at that time. See NYSE Rule 7.35B(d)(1). Accordingly, in the event of a trading halt effective at 3:50 p.m. or later, MOC/LOC orders may be entered only to offset a published imbalance, while Closing IO Orders may be entered in any amount on either side of the market.

B. Imbalance Publications[4]

NYSE Rule 7.35B(d) provides for the publication of order imbalances as described below. DMMs are reminded that erroneous imbalance publications must be corrected as soon as practicable.

1. Publication of Manual Closing Imbalance between 3:00 p.m. and 3:50 p.m.

Between 3:00 p.m. and 3:50 p.m., DMMs are encouraged to issue Manual Closing Imbalance Publications of any size if they believe there could be significant price dislocation at the Close. These publications are informational only and do not limit MOC/LOC or Closing IO Order entry or cancellation before 3:50 p.m. DMMs must obtain prior approval from a Trading Official (see NYSE Rule 7.35B(d)(2)) prior to issuing a Manual Closing Imbalance Publication. Such approvals must be recorded in the Floor Official Request Tracking Engine ("FORTÉ"), and the record must include the

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2 "Closing Auction Imbalance Freeze Time" means 10 minutes before the scheduled end of Core Trading Hours. See NYSE Rule 7.35(a)(8). Specific time deadlines noted in this memorandum (e.g., the 3:50 p.m. deadline for entry of MOC/LOC Orders) refer to Eastern Time and are applicable to days for which the scheduled end of Core Trading Hours is 4 p.m. On days when the NYSE is scheduled to close at a time other than 4 p.m., such deadlines—tied to the scheduled end of Core Trading Hours—move accordingly.

3 "Legitimate Error" means an error in any term of an order, such as price, number of shares, side of the transaction (buy or sell), or identification of the security. See NYSE Rule 7.35(a)(13).

4 For more information on how imbalance volumes are calculated, see NYSE Rule 7.35(a)(4).

proposed imbalance information and note any other relevant information (e.g., average daily trading volume ("ADTV"), size, or degree of impact) in connection with the request.

2. Publication of Significant Closing Imbalance at 3:50 p.m.

At 3:50 p.m., the Exchange will disseminate a Significant Closing Imbalance, regardless of whether the security has opened or is halted or paused at that time, if the notional value of the Closing Imbalance is equal to or greater than $200,000 and the closing imbalance is equal to or greater than: (i) 30% of the 20-day Average Closing Size for securities in the S&P 500 Index, (ii) 50% of the 20-day Average Closing Size for securities in the S&P 400 Index and the S&P 600 Index, or (iii) 70% of the 20-day Average Closing Size for all other securities.[5] Beginning one hour before the scheduled end of Core Trading Hours up to 3:50 p.m., a DMM may disseminate a Manual Closing Imbalance with prior Trading Official approval.[6] The Manual Closing Imbalance Publication must be recorded in FORTÉ and DMMs should record the proposed imbalance information and note any other relevant information (e.g., ADTV, size, or degree of impact) in connection with the request.

3. Publication of Auction Imbalance Information

In addition to the Manual Closing Imbalance and Significant Closing Imbalance Publications described above, the Exchange also makes available Auction Imbalance Information prior to the Close in accordance with NYSE Rule 7.35B(e). From 2:00 p.m. until 3:50 p.m., the Exchange will make available Total Imbalance, Side of Total Imbalance, Paired Quantity, Unpaired Quantity, Side of Unpaired Quantity, and if published, Manual Closing Imbalance, to Floor Brokers for any security (i) in which a Floor Broker has entered an order, or (ii) as specifically requested by a Floor Broker. In addition, beginning at 3:50 p.m., all Closing Auction Imbalance Information will be made available to Floor Brokers.

C. The Closing Auction

1. Determining an Auction Price

DMMs are reminded of their obligations to (i) select an Auction Price at which all better-priced orders on the Side of the Imbalance can be satisfied,[7] and (ii) maintain a fair and orderly market pursuant to NYSE Rule 104.

2. Floor Broker Verbal Interest at the Close

Floor Broker Interest is not eligible to participate in the Closing Auction.[8]

D. Extreme Order Imbalances at or Near the Close

In order to avoid significant dislocation in the closing price that may result from an order entered or represented at or near the Close, NYSE Rule 7.35B(j)(2) permits the Exchange, on a security-by-

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5 For more information on Significant Closing Imbalances, see NYSE Rule 7.35B(d)(1).

6 For more information on Manual Closing Imbalances, see NYSE Rule 7.35B(d)(2).

7 For more information on the Auction allocation following the determination of the Auction Price, see NYSE Rules 7.35B(h) and 7.37(b)(2) - (7).

8 See NYSE Rule 7.35B(a)(1) (providing that "Floor Broker Interest is not eligible to participate in the Closing Auction. Floor brokers must enter any orders for the Closing Auction, as defined in Rule 7.31, electronically during Core Trading Hours.").

security basis, to temporarily suspend the requirement that all order instructions be entered by the end of Core Trading Hours (per NYSE Rule 7.34(a)(2)(B)) and to permit the solicitation and entry of orders into Exchange systems. However, NYSE Rule 7.35B(j)(2)(A)(i) requires that such orders are solicited solely to offset any Imbalance in a security that may exist as of the scheduled end of Core Trading Hours. Off-setting interest may be solicited from both on-Floor and off-Floor participants up to a cut-off time designated by the Exchange. Off-setting interest is solicited using Exchange Trader Updates as well as messages sent directly to Floor Broker hand-held devices. These Exchange-issued solicitation requests include the security symbol, the Total Imbalance, the Side of the Total Imbalance, and the Exchange Last Sale Price. If the side of the Total Imbalance is to buy (sell), during the Solicitation Period, the Exchange will accept only sell (buy) Limit Orders and Floor Broker Interest with a limit price equal to or higher (lower) than the Exchange Last Sale Price. The Exchange will reject all other orders and requests to cancel any orders, regardless of the time of entry of the original order. Exchange systems will accept interest entered electronically in the named security after 4:00 p.m. only if NYSE Rule 7.35B(j)(2) is invoked.

NYSE Rule 7.35B(j)(2)(B) allows for the temporary suspension of the prohibition on canceling an MOC or LOC Order after ten minutes before the scheduled end of Core Trading Hours (i.e., typically 3:50 p.m.) where there is a legitimate error in such an order and the execution of the order would cause significant price dislocation at the Close. Only the DMM assigned to a particular affected security may request relief under NYSE Rule 7.35B(j)(2). Such a request must be approved and supervised by a Trading Official. All Rule 7.35B(j)(2)-related approvals must be recorded in FORTÉ.

E. Block-Sized Interest at the Close

Although orders entered at or near the Close are eligible to be executed either prior to the Close or as part of the Close, members and member organizations should keep in mind that such orders can result in price dislocation in the stock, particularly if the size of the order is unusual in relation to the average daily volume of the stock or otherwise cannot easily be absorbed because of prevailing market conditions. As a result, members and member organizations should not hold back large interest until at or near the Close and are advised that, if they do, they may face disciplinary action for potentially affecting the Close inappropriately. Efforts to improperly manipulate stock prices, regardless of their size, are strictly prohibited. In addition, members and member organizations should be aware that their orders may execute at multiple prices in a series of transactions that are distinct from the Close.

III. Record of Orders

Members and member organizations are reminded that, except in limited circumstances,[9] NYSE Rule 123(e) requires that, immediately following the receipt of an order in an NYSE listed security on the Trading Floor, members and member organizations must record the details of that order (including the prescribed data elements) in an electronic system on the Trading Floor. This recording must occur before the order can be represented on the Trading Floor. All applicable order information should be entered into an Exchange order management system ("OMS") such as BBSS. In order to be in compliance with NYSE Rule 123(e), any third-party OMS used to route to and receive orders on

[9] Supplementary Material .21 to NYSE Rule 123 provides that "[a]ny order executed by a DMM for his or her own account and any orders which by their terms are incompatible for entry in an Exchange system relied on by a Floor member to record the details of the order in compliance with this Rule" are exempt from the order entry requirements of NYSE Rule 123(e). In addition, Supplementary Material .22 to that rule specifies unique order entry requirements that are applicable to bona fide arbitrage orders and orders to offset transactions made in error.

the Trading Floor must be capable of transmitting the details of the order to a designated Exchange database.

Members and member organizations are further reminded that held or not held order instructions must be entered in the free-form field (Tag 58). Note, entry of these order instructions in the free-form field may be completed by, or at the instruction of, the member or member organization handling the order provided that the member or member organization has received documented instructions from its customer that specifically state whether a particular order is held or not held or a blanket instruction that all of a customer's orders are to be treated as held or not held unless otherwise specifically instructed in writing.

Additionally, NYSE Rule 123(f) requires that all reports of executions related to such orders be entered into the same database using prescribed data elements.

IV. Adequacy of Operations and Supervisory Staff

All members and member organizations, including DMMs, should ensure that both operational and supervisory staffing on and around the Expiration Day will be sufficient to monitor and process all orders, regardless of the form in which they are received, as well as to handle the anticipated increased workload associated with that event. All members and member organizations should also review their systems to ensure that they have adequate capacity to handle the expected increase in volume. For example, DMM firms should review their DMM Unit algorithms to ensure that they meet their obligations to maintain a fair and orderly market. DMMs also are reminded to seek the advice of a Trading Official regarding any unusual situations as quickly as possible.

V. Supervision

A. Review of Policies and Procedures

Members and member organizations should carefully review their procedures as well as their supervisory systems for handling an increased volume of orders in connection with the Expiration Day. Specifically, members and member organizations should review their practices for handling orders at or near the Close, including practices applicable to manual orders and as well as those handled systemically, such as orders that are handled by a computer algorithm. In addition, members and member organizations should take all necessary steps to ensure that the relevant trading and back-office staffs are familiar with firm procedures for handling orders at or near the Close.

In addition, members and member organizations are reminded of their obligation to have adequate systems and controls relating to the use of firm systems by correspondents or others. Please consult Information Memo 11-13 (May 16, 2011), Information Memo 18-04 (August 13, 2018), and Information Memo 18-05 (August 13, 2018) for more information.

B. Compliance Program

Members and member organizations are also reminded to ensure that they have a robust compliance program that includes adequate written policies, procedures, and supervisory controls to monitor for compliance with all applicable provisions of the Rule 7.35 series and the guidance contained in this memo.

C. Supervision to Prevent Improperly Affecting the Close

Members and member organizations have an obligation to not artificially impact the closing price. Members and member organizations are reminded that certain orders and order entry practices

may have the potential to cause price dislocation before the Close or distort the closing price due to prevailing market conditions at the time the order is entered. Similarly, trading at or near the Close is of particular concern due to the condensed timeframe for execution, and because the resultant closing prices are used to set benchmarks, such as index rebalancing. As a result, concerns regarding manipulation and disruptive trading may be heightened when trading occurs at or near the Close.

Firms should review procedures utilized in connection with orders to be executed at or near the Close with their traders and other order-entry personnel. Firms should also review systemic order entry functions (e.g., algorithms or "smart servers"). Members and member organizations are also reminded that, when a firm has committed to purchase from or sell to a customer at a price that is derived from the closing price (e.g., VWAP and MOC orders) while also reserving a significant portion of its hedging or covering transaction to be executed at or near the Close, if the transaction is completed in a manner that does not effectively place the firm at market risk or if the transaction does not provide an opportunity for possible contra side interest to develop and/or react to the activity, it could raise regulatory concerns and constitute conduct inconsistent with just and equitable principles of trade.

VI. Conclusion

The rules described in this Regulatory Memo are applicable every day but are especially significant on the Expiration Day. Members and member organizations are reminded that failure to comply with any of these requirements may result in disciplinary action.

VII. Staff Contacts

Questions concerning this Regulatory Memo should be directed to nyse-regulation@nyse.com or:

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